(4) Income Taxes

At June 30, 2008 and 2007, the Company has estimated net operating loss carryforwards of approximately $0 and $0 respectively, for Federal income tax purposes, and $0 and $0, respectively, for state income tax purposes to offset future taxable income. All tax loss carry-forwards expired as follows:

	Year ending June 30,	Federal	State
	1990	$ 2,348,000	$ 2,304,000
	1991	2,984,000	2,941,000
	1992	5,360,000	5,230,000
	2001	1,549,000	1,537,000
	2002	1,288,000	1,288,000
	2004	7,468,000	7,128,000
Net operating loss carryforwards, June 30, 1989:		20,997,000	20,428,000
Less: 1990 Expirations		(2,348,000)	(2,304,000)
	2005	79,000	79,000
Net operating loss carryforwards, June 30, 1990:		18,728,000	18,203,000
Less: 1991 Expirations		(2,984,000)	(2,941,000)
	2006	21,000	21,000
Net operating loss carryforwards, June 30, 1991		15,765,000	15,283,000
Less: 1992 Expirations		(5,360,000)	(5,230,000)
	2007	21,000	21,000
Net operating loss carryforwards, June 30, 1992		$ 10,426,000	$ 10,074,000
	2008	21,000	21,000
Net operating loss carryforwards, June 30, 1993, 1994, 1995, 1996, 1997, 1998, 1999, 2000, 2001, 2002, 2003 and 2004		$ 10,447,000	$ 10,095,000
Less: Expirations through 2006		10,305,000	9,953,000
Net operating loss carryforwards, June 30, 2005, 2006, 2007 and 2008		$ 142,000	$ 142,000

The Company has not filed its federal or Florida income tax returns for the fiscal years ended June 30, 2008, 2007, 2006, 2005,
2004, 2003, 2002, 2001, 2000, 1999, 1998, 1997, 1996, 1995, 1994, 1993, 1992, 1991 and 1990.

The net operating loss carryforwards expiring through 1988 were generated by the Association prior to its acquisition by Admiral Financial Corp. and have been carried over at their original amounts for income tax purposes. For financial statement purposes, these purchased loss carryforwards will not be used to offset the future tax expense of Admiral. They will be accounted for as an adjustment to equity if and when a tax benefit is realized. At June 30, 2008 and 2007, such purchased loss carryforwards remaining amounted to approximately $0 and $0, respectively.